

Contracts
Schnell v. Nell
17 Ind. 29 (1861)

Keyword Subject

Breach of Contract, Consideration

Facts

Plaintiff's (Schnell) wife made an inoperative will expressing her desire that the three Defendants each receive \$200 upon her death. The will was inoperative because she had no property of her own. Plaintiff sought to respect her wishes by entering a separate contract with the Defendants in which he promised to pay them the \$200 over 3 years in even disbursements. Plaintiff, however, changed his mind and refused to send the money.

Procedural History

Trial Court: In favor of (?)

Appeal: In favor of Defendant

Supreme: In favor of Plaintiff (Reversed and Remanded)

Issue

Was the contract based on an inoperative will express consideration sufficient to make it enforceable?

Holding: No; Reversed and Remanded

Principle

Consideration of 1¢ does not count as consideration when there is a direct money exchange. Consideration needs to be more intangible than that (but less intangible than "the love and wishes of his wife")

Reasoning

Separate Opinions

Notes